

FEDERAL MARITIME COMMISSION

IN RE COSCO SHIPPING LINES Co.,
LTD. – COMPLIANCE WITH ORDER TO
PAY REPARATIONS IN FMC DOCKET
No. 2022(I)

Docket No. 26-13

Served: October 2, 2026

BY THE COMMISSION: Laura DiBELLA, *Chairman*,
Rebecca F. DYE, Daniel B. MAFFEI, Max M. VEKICH,
Robert J. HARVEY, *Commissioners*.

Order to Show Cause

The Federal Maritime Commission (Commission or FMC) has reason to believe that COSCO Shipping Lines Co., Ltd. (COSCO) failed to timely pay reparations as ordered in FMC Docket No. 2022(I). Specifically, information received by the Commission indicates that COSCO failed to pay the reparations award in that matter until more than seven months after payment was due in January 2026. As a result, the Commission now orders COSCO to show cause why civil penalties should not be assessed for violations of 46 U.S.C. § 41107(a) and 46 U.S.C. § 41102(d)(2).

In July 2025, Agribusiness Holdings Limited Partnership d/b/a Bridgewell Agribusiness, LLC (Bridgewell) filed an amended informal complaint against COSCO, a controlled carrier under 46 U.S.C. § 40102(9), alleging Shipping Act violations related to demurrage and detention invoices. *See* FMC Docket No. 2022(I). In

September 2025, the presiding officer issued an Initial Decision awarding \$24,328.80 in reparations, plus interest, and in early January 2026 the Commission issued a Notice Not to Review requiring COSCO to pay by January 20, 2026. However, available information indicates that despite repeated contacts from the complainant and eventually from the FMC itself, COSCO did not pay the reparations award until August 31, 2026.

The Commission now “institute[s] a proceeding by order to show cause,” directing COSCO to show cause why civil penalties should not be assessed for its apparent belated payment of the reparations award in the circumstances described in this Order. 46 C.F.R. § 502.91; *see* 46 U.S.C. § 41302(a). First, such conduct would appear to violate 46 U.S.C. § 41107(a), which provides that a person violating an “order” of the Commission is liable for civil penalties. Second, such conduct may also violate 46 U.S.C. § 41102(d)(2), which provides that a common carrier may not retaliate or “resort to any other unfair [] action” because a shipper or other entity has patronized another carrier, filed a complaint, “or [for] any other reason.” The order to show cause process will provide COSCO with the opportunity to present documentary evidence as to the relevant events, to address the legal issues involved, to contend that civil penalties should not be imposed, and to address what the level of any such penalties should be.

I. BACKGROUND

On July 16, 2025, Bridgewell filed an amended informal complaint against COSCO, a government-controlled carrier of the People’s Republic of China. *See* FMC Docket No. 2022(I); 46 U.S.C. § 40102(9). Bridgewell alleged that COSCO had violated 46 U.S.C. §§ 41102(c), 41102(d)(2), and 41104(a) and (d) by failing to issue invoices for demurrage and detention charges; that COSCO’s invoices failed to comply with section 41104(d)’s requirements regarding information that demurrage and detention invoices must contain “and did not serve the FMC’s ‘Incentive Principle’” at 46 C.F.R. § 545.5; and that COSCO’s invoices did not comply with the

regulations at 46 C.F.R. Part 541. *See* Initial Decision (Sept. 29, 2025) at 1. COSCO filed a response to the amended complaint on August 11, 2025, denying the allegations. *See id.* at 3, 5-6.

On September 29, 2025, the presiding officer ruled that COSCO had violated sections 41104(a)(15) and 41104(d)(2), and awarded \$24,328.80 in reparations, plus interest calculated from the date of injury. *See* Initial Decision at 3, 28-29. COSCO did not seek reconsideration of the Initial Decision, and on January 5, 2026, the Commission issued a Notice Not to Review. *See* Notice Not to Review (Jan. 5, 2026).¹ The Notice Not to Review stated that COSCO was required to pay the reparations award to Bridgewell by January 20, 2026. *Id.*

Information received by the Commission indicates that COSCO's payment of the reparations award to Bridgewell was made 223 days, or more than seven months, after the January 20, 2026 due date. In addition, information received by the Commission indicates that even this belated payment required numerous requests from Bridgewell during the period that payment was overdue, as well as several contacts from the FMC.

II. DISCUSSION

The U.S. Court of Appeals for the D.C. Circuit recently recognized that the Commission has a strong interest in “preserving the integrity of its procedures” and that a respondent's disregard of binding FMC orders can “undermin[e] its authority.” *MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222, 242 (D.C. Cir. 2025). That principle applies with particular force where, as here, a respondent appears to have persistently failed to comply with

¹ No review notices are normally sent out 30 days after the issuance of the initial decision. However, in this case the 30-day period ended during the government shutdown that took place from October 1, 2025, to November 12, 2025. The Commission extended the deadlines for pending matters, and accordingly, the notice in this case was issued on January 5, 2026.

a final reparations order for many months after the date fixed by the Commission for payment.

To address this kind of situation, the Commission is empowered to impose civil penalties for the non-payment of a reparations award. Title 46 U.S.C. § 41107(a) provides that a “person that violates this part or a regulation or order of the Federal Maritime Commission issued under this part is liable to the United States Government for a civil penalty.” Section 41107(a) further provides that “[e]ach day of a continuing violation is a separate violation,” with a maximum penalty of \$5,000 per violation, or \$25,000 where the violation was willful and knowing. These statutory penalty amounts are adjusted for inflation annually and currently stand at \$14,988 and \$74,943. *See* 46 C.F.R. § 506.4(d).

The Supreme Court has confirmed that section 41107 authorizes the Commission to pursue civil penalties for noncompliance with a reparations order. In *Federal Maritime Commission v. South Carolina State Ports Authority*, 535 U.S. 743, 763 (2002), the Court held that a respondent refusing to pay a reparations award could be found in violation of the Shipping Act. As the Court explained, a respondent

subject to such [a reparations] order at the conclusion of an FMC adjudicatory proceeding would either have to make the required payment to the injured private party or stand in violation of the Commission's order. If the [respondent] were willfully and knowingly to choose noncompliance, the Commission could assess a civil penalty of up to \$25,000 a day.

Id. at 766.

In light of the above, the Commission is opening a new proceeding to consider assessing civil penalties against COSCO for potential violations of sections 41107(a) and 41102(d)(2). As for

section 41107(a), the agency has a strong interest in ensuring that reparations orders are paid, both to guarantee that specific complainants are properly compensated for harms caused by Shipping Act violations and to ensure compliance with its orders more broadly. As to section 41102(d)(2), in light of COSCO's apparent lengthy failure to pay the reparations award issued here, the prohibitions against retaliation and other unfair conduct should also be considered. Therefore, the Commission issues this Order directing COSCO to show why it should not be found to have violated the Shipping Act by failing to pay the reparations award in Docket No. 2022(I) by January 20, 2026, as it was directed to do in the Commission's Notice Not to Review.

The Commission notes that potential civil penalties in this matter could be substantial. COSCO was aware of its obligations at the time the January 5, 2026 Notice Not to Review was served on it, and the apparent facts that have come to the Commission's attention indicate that COSCO was reminded extensively for months about its non-payment, yet it appears to have been out of compliance with the Commission's order for 223 days. That raises the question whether these potential violations of the statute were knowing and willful. Moreover, "each day of a continuing violation is a separate violation" under section 41107.

In assessing civil penalties under 46 U.S.C. § 41109(b)(1) and 46 C.F.R. § 502.603, the Commission considers the nature and gravity of the violation, the respondent's culpability, history of prior offenses, ability to pay, and other matters justice may require. In addition, one key goal in assessing civil penalties for knowing and willful violations is deterrence, and it could be appropriate to impose a higher penalty, within statutory limits, based on the need to be sure the amount was sufficient to have that deterrent impact. *See Anderson Int'l Transport – Possible Violations of Sections 8(A) and 19 of the Shipping Act of 1984*, FMC Docket No. 07-02, 2013 WL 9808666, at *21 (FMC June 25, 2013) (higher penalties are important to deter knowing and willful violations).

III. CONCLUSION

Pursuant to 46 U.S.C. § 41302(a) and 46 C.F.R. § 502.91, COSCO is hereby **ORDERED** to show cause why it should not be assessed civil penalties for violations of 46 U.S.C. § 41107(a) and 46 U.S.C. § 41102(d)(2) due to a failure to comply in a timely way with the Initial Decision dated September 29, 2025, and Notice Not to Review dated January 5, 2026, in FMC Docket No. 2022(I).

It is further **ORDERED** that:

- 1) COSCO's brief, which must not exceed 50 pages, along with any supporting materials regarding the factual matters at issue, is due on December 1, 2026;
- 2) To confirm the veracity of the factual information the Commission has received, COSCO shall provide along with its brief all written communications it had with Bridgewell, including any employee or representative of Bridgewell, concerning payment of the reparations award in FMC Docket No. 2022(I);
- 3) Motions for leave to file an amicus brief under 46 C.F.R. § 502.73 are due on December 15, 2026, and must include a copy of the brief, which must not exceed 25 pages;
- 4) COSCO's reply to any amicus briefs is due on January 14, 2027, and must not exceed 20 pages;
- 5) This proceeding is limited to submission of the above materials, but should COSCO believe that any additional evidence or oral argument is required, it must submit a request and detailed justification no later than November 2, 2026;

- 6) Pursuant to 46 C.F.R. § 502.10, the Commission hereby waives the provisions of Subparts A-E, I-L, and P of Part 502, and all other provisions of the Commission's Rules of Practice and Procedure, except as consistent with this Order;
- 7) Consistent with 46 C.F.R. Part 502, all documents filed in this proceeding will be available to the public on the Commission's website unless the filing party requests and is granted confidential treatment of the materials under 46 C.F.R. § 502.5; and
- 8) The final decision of the Commission in this matter shall be issued by April 30, 2027, which may be extended by Commission order.

By the Commission.

David Eng
Secretary